Off Sides Scalp

Why the Off Sides Scalp works:

- In play stock makes a strong move at the open that looks like an opening drive. However, the stock finds sellers at a resistance level and sellers overwhelm buyers here
- The stock pulls in and finds buyers near VWAP. Buyers and sellers battle it out here and put in a distinct range, categorized by two highs and two lows
- Eventually, one side will win and we want to join the winning side on the range break
- We are looking to take advantage of the wrong side getting stopped out

Entry Rules (inverted rules for the long side):

- Enter aggressively on the range break, hitting the bid to get short.

Stop Loss Rules:

- The stop should be placed one cent above the top of the range
- We will only try this trade once

Exit Rules:

- The target for this trade is a measured move of the range
- We will take the low of the range - (high of the range - low of the range) to calculate our target

Factors that increase the probability of this scalp working:

- We want to see the market trending in the same direction as this range break
- After the range break, we want to see a quick move to the target to confirm that other participants are getting stopped out, forcing this stock lower
- This scalp works well in a range-bound and fade kind of market environment

Factors that decrease the probability of this scalp working:

- The market trending in the opposite direction of the range break
- We don't want to see slow, choppy price action after the range break. This would indicate that buyers are not panicking out of the stock
- This scalp does not work well in a market that is breaking out and rewarding momentum trades

The ideal times of day to take this scalp:

- Morning (10 - 11)
- Late Morning (11 - 12)
- Mid - Day (12 - 2)

When do we avoid this scalp entirely?:

- We will avoid this scalp entirely on day 1 stocks that are breaking out on the daily with a strong catalyst (8+)